



80 | Dixon is expecting tailwinds from the thaw in the relationship between India and China

manufacturing to increase domestic value addition. There again it has been quick off the block in making the most of the government's Electronics Component Manufacturing Scheme (ECMS). "We were the first ones to set up a camera module facility, which is already operational with a capacity of seven million pieces per month. We will be the first with display modules, which should be operational by May-June," he says.

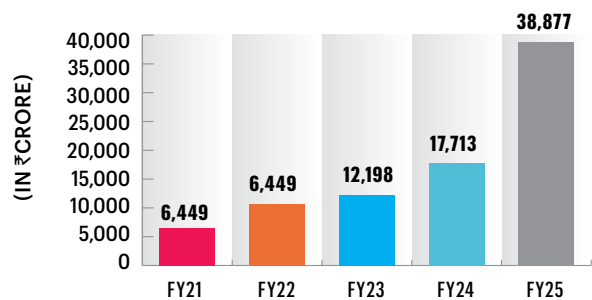
Dixon's investment in key components is aimed at building a moat. "The success we achieve will not be sustainable if we don't invest in backward integration. You cannot be importing your components from neighbouring countries and hope to be globally competitive," he says.

Backward integration, says Vachani, is also going to add significantly to the bottom line because margins in the components business are much better than those in the EMS business.

While the company's camera module unit has already received approval under the ECMS, Vachani is hopeful of getting the nod for the display joint venture as well. Dixon Display Technologies, in which China's HKC will hold a 24% stake,

TURNOVER UP 6X IN 5 YRS

• Making the most of government schemes, Dixon has rapidly expanded its production



SOURCE COMPANY

received the government's nod under Press Note 3 (PN3) in March. PN3 is a framework introduced by the government to control foreign direct investment from countries that share a land border with India, primarily China. It was eased in March.